

**American Bar Association
Forum on Construction Law**

**Plenary Session 4: Seeing the Big Picture: Construction Management (CM)
under the 2019 AIA's CM Contract Documents
(Part 2: Construction Phase)**

CMa Series of Documents (CM as Adviser)

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I. Introduction

This “Plenary Four” paper focuses on the Construction Manager as Adviser (CMa) delivery method, both in general terms and as framed by the AIA 2019 CMa Contract Documents. Plenary Three focuses on “Preconstruction Phase” so this paper focuses on the “Construction Phase” aspects of the CMa project delivery method. The paper will cover certain material changes to those updated AIA Contract Documents. However, rather than simply review redline comparisons of the 2019 documents and their predecessors, greater emphasis is placed on the practical, i.e., actual considerations in using those Contract Documents and the CMa delivery method.

II. The Construction Management Delivery Method, Generally

Construction Management (CM) is not a single approach to project delivery. Rather, it is a sliding scale with endless possible permutations depending on the project and its participants. The ends of the spectrum are Construction Manager as Constructor (CMc), which is also sometimes known as “Construction Manager at Risk,” and the CMa delivery method that is the subject of this paper.

A. Construction Manager as Constructor (CMc)

The CMc approach is similar to the traditional tripartite method of project delivery. There, the project Owner contracts directly with the constructor, often a general contractor (GC), and the lead designer. In the CMc approach, the constructor is the CMc rather than a GC. In both cases, the CMc and GC directly enter into subcontracts and mark them up with fee. In exchange for that markup, both the CMc and GC are potentially liable to the Owner for things like subcontractor performance, cost, and schedule. Often, the Owner does not hire the GC until the designer has completed construction documents.

By contrast, the hallmark of the CMc approach is early involvement of the constructor in the design phase, before the plans are complete. The advantages of CMc involvement in the design phase are clear. They include getting practical CMc input on things like constructability, cost, and value engineering. Early project phase constructor involvement is not new. However, recent and sustained industry interest in delivery methods like design-build and integrated project delivery show that project stakeholders continue to see the advantage of involving the constructor before the design is complete.

Note that the various AIA contract forms associated with the CMc project delivery method use AIA Document A201-2017 as their General Conditions. In the CMc approach, like the GC approach, the Architect performs the typical A201-inspired construction administration functions in the Construction Phase. That both the GC and CMc delivery methods utilize the A201 demonstrates the similarities between the GC and CMc approaches.

B. Construction Manager as Adviser (CMa)

In the CMa approach, the Owner buys a layer of consulting in exchange for the CMa's fee. As the name implies, the CMa merely serves as an adviser to the Owner. Unlike the CMc, which holds the subcontracts, the CMa is not the project constructor. Thus, the CMa is not directly accountable to the Owner for cost, schedule, or subcontractor performance. That does not mean the CMa is without liability exposure. The CMa's central project role – which encompasses a blend of duties typically reserved for GCs and designers – can make the CMa an attractive target for claims.

Often, attorneys who seek to target defendants for potential claims can find contract language that puts the CMa at the center of various project activities. This can give claimants a basis to allege the existence of a “duty” on the part of the CMa, which can lead to theoretical

liability exposure. The breadth of typical CMA contractual duties is discussed in the review of specific AIA Contract Document provisions below. Suffice to say, there often exists a basis to argue that the CMA had a contractual duty for safety, submittal review, coordination, and other tasks central to claims. It can be easy to initially assert a claim against the CMA, but potentially difficult for defense attorneys to win early dispositive motions.

Another reason the CMA can be an attractive target for claims is the insurance it carries. The CMA's role encompasses both traditional GC and designer duties; a role broad enough to be insurable, in part, by both Commercial General Liability (CGL) and Professional Liability (PL) policies. This means successful claims against a CMA might be satisfied by insurance policy proceeds even if the CMA itself lacks the assets to satisfy a judgment against it. When considering potential targets for claims, attorneys focus not just on liability exposure and the likelihood of victory, but also whether they can recover dollars if they win.

C. CMA v. CMc: Are They Substantially Different Approaches?

At first blush, it is tempting to say “yes” – the CMA approach is a substantially different method of project delivery than the CMc approach. But the key question is, different *for whom*? CMA projects are not particularly different for constructors, which face similar risks and rewards with the CMA approach as they do with other project delivery methods. On CMA projects, constructors are still responsible to construct on time and on budget, safely, and in accordance with the construction documents.

From the perspective of the Owner and Architect, the CMA approach can differ from other delivery methods to a greater extent. This is because CMA often handles tasks the AIA's A201 family of documents reserves for the Architect. For this reason the CMA approach has its own General Conditions: AIA Document A232-2019 General Conditions of the Contract for

Construction, *Construction Manager as Adviser Edition*. The AIA has also created 2019 updates of other CMA-specific documents, e.g., G731-2019 (Change Order), G732-2019 (Application and Certificate for Payment), G733-2019 (Construction Change Directive) and G734-2019 (Certificate of Substantial Completion), which require the CMA's signature along with that of the Architect and Contractor. With the Change Order and Construction Change Directive (CCD) forms, the Owner also must sign. However, a comparison of A232 and A201 General Conditions documents reveals that they have more similarities than differences. The A232 document simply carves out a role for the CMA.

Therefore, rather than say the CMA delivery method *is* substantially different, perhaps it is more accurate to say CMA delivery method represents *the potential* for substantial differences from CMc delivery method? The specifics of the project dictate the extent to which the CMA delivery method is meaningfully different than the CMc approach.

For example, while the CMA approach works with single GC projects, the CMA approach also lends itself well to projects where the Owner directly hires and contracts with multiple prime contractors (the "Multiple Prime Contractor" approach) rather than retaining a single GC. This is a logical feature of the AIA's CMA contract documents. Many project owners – especially those who are only occasional, or unsophisticated, consumers of design and construction services – lack the ability to manage Multiple Prime Contractors. However, they can outsource that task to a CMA. Compatibility with the Multiple Prime Contractor method of project delivery is a key aspect of the AIA's CMA Contract Documents.

Similarly, the CMA approach is compatible with projects where the Contractor's basis of payment is either fixed fee or cost reimbursement. AIA Document A132-2019, the Standard Form of Agreement Between Owner and Contractor, CMA Edition, allows users to "check the box" to

select between Stipulated Sum pricing or Cost of the Work Plus the Contractor's Fee with (or without) a Guaranteed Maximum Price. On the latter, the A132-2019 anticipates that the important "Cost of the Work" definition will be established through its Exhibit B, entitled "Determination of the Cost of the Work."

Flourishes like the Owner's ability to use either Multiple Prime Contractors or a single GC, and to pay a Stipulated Sum or the Cost of the Work, can introduce complexity into the CMA method of project delivery. These distinctions can affect Owner, Architect, Contractor, and CMA roles, risks, and rewards. A CMA project which involves a single GC paid a stipulated sum, all things being equal, is not that complex. However, if the CMA is tasked to manage Multiple Prime Contractors paid on a Cost of the Work basis, that CMA project becomes rather different than a CMc or single GC project.

That CMA projects involve one additional participant – the CMA – is the essential difference between CMc and CMA project delivery methods. That extra party makes the CMA method incompatible with certain standard AIA Contract Documents. For example, GC projects use the standard AIA Document E204-2017 Sustainable Projects Exhibit. However, the AIA developed an alternate version for CMA projects: AIA Document E235-2019, Sustainable Projects Exhibit, *Construction Manager as Adviser Edition*. Some of their differences are discussed below. Chief among them are recognition of the extra party, the CMA. Like the CMA's unique General Conditions document, A232-2019, the CMA-specific Sustainable Projects Exhibit, E235-2019, acknowledges that the CMA is an important stakeholder, along with the Owner, Architect, and Contractor, on projects which target "Sustainable Objectives."

In other cases, CMA projects use standard AIA Contract Documents. This is true for the AIA's Digital Practice Documents. There are no CMA-specific versions of those standard AIA forms.

They include AIA Documents E203-2013, Building Information Modeling (BIM) and Digital Data Exhibit; G201-2013, Project Digital Data Protocol; and G202-2013, Project BIM Protocol. However, their use when the CMa, an additional important stakeholder, is involved can add a wrinkle of complexity. The CMa's role, responsibilities, and risks must be considered. Thus, users of the standard AIA Digital Practice Documents should consider whether CMa-specific edits are appropriate on CMa projects.

The similarity of the CMc and single GC approaches can make the CMc approach simpler to implement than the CMa approach. Perhaps this is why the AIA's CMc Contract Document suite are more frequently used than its CMa Contract Document suite. However, the CMa approach has its advantages. CMa should not be overlooked as a viable delivery method, particularly on projects in which the Owner will hire Multiple Prime Contractors rather than a single GC.

D. Other Construction Management Standard Contract Forms

Other industry groups, like the Construction Management Association of America (CMAA) and ConsensusDocs, have also developed a variety of standard contract forms for Construction Management type projects. The CMAA was involved in developing the AIA's 2019 Construction Management Contract Documents, both CMa and CMc. The CMAA offered substantial input regarding the proper CMa and CMc roles and responsibilities. It publishes eight principal forms designed to establish the contractual relationship when the Construction Manager is hired as the Owner's Agent (A-1, A-2, A-3, A-4) or hired as the Construction Manager "At Risk" (CMAR-1, CMAR-2, CMAR-3, CMAR-4).

III. Focus on AIA's CMA Contract Documents

Up to eleven documents comprise the AIA's standard forms for the CMA method of project delivery, depending on project specifics. First is the Owner's contract with the CMA: AIA Document C132-2019, Standard Form of Agreement Between Owner and CMA. Second is the Owner's contract with the Architect: AIA Document B132-2019, Standard Form of Agreement Between Owner and Architect, CMA Edition. The next five documents form part of the Owner's contract with the Contractor. Of those, two are optional: the Sustainable Projects and Determination of the Cost of the Work exhibits. Those seven documents, plus four additional CMA-specific forms, are reviewed and briefly discussed below.

A. Owner-Contractor Agreements.

The five AIA Contract Documents from the CMA family which comprise the Owner's agreement with the Contractor are summarized briefly below.

1. A132-2019: Owner-Contractor Agreement.

The 2019 version of the A132 contains substantial revisions. However, few are specific to the CMA delivery method. The changes bring the A132-2019 in line with other recent AIA Contract Document revisions. Most changes in A132-2019 are taken verbatim from the AIA's principal Owner-Contractor agreements, including A101-2017 (Stipulated Sum), A102-2017 (Cost of the Work Plus a Fee with a Guaranteed Maximum Price (GMP)), A103-2017 (Cost of the Work Plus a Fee without a GMP). Many changes are thus unrelated to CMA delivery method.

2. A132-2019 Exhibit A: Insurance & Bonds Exhibit.

The CMA-specific A132-2019 Exhibit A is nearly verbatim to A101-2017 Exhibit A, the insurance and bonds exhibit to the A201 family documents. One important difference is A132

Exhibit A requires the Contractor to cause the CMA and its consultants to be named as Additional Insureds under the Contractor's CGL insurance policies.

3. A132-2019 Exhibit B: Cost of Work Determination.

A132-2019 can be utilized with fixed fee and cost reimbursement methods of contractor compensation. Exhibit B makes the latter possible. It describes which costs comprise "The Cost of the Work" to distinguish them from costs not reimbursable to the Contractor. Optional Exhibit B is a practical tool, but it is not a new idea. It replaces a similar predecessor exhibit to A132-2009. Exhibit B facilitates project fast-tracking, where some construction precedes completion of drawings, with a later determination of the GMP – a delivery method variation where an Owner might want CMA assistance.

4. A232-2019: General Conditions.

As noted above, the flagship A201-2019 General Conditions is incompatible with the CMA Contract Documents. A CMA-specific General Conditions document, the A232-2019, is used with the CMA family of AIA Contract Documents, i.e., the A132-2019 (CMA-specific Owner-Contractor Agreement), the B132-2019 (CMA-specific Owner-Architect Agreement), and the C132-2019 (CMA-Owner Agreement). Later sections of this paper address the A232 in more detail. They address how the CMA shares scope of work traditionally reserved for the Architect and Contractor, and performs more intensive contract administration – particularly in the Construction Phase – than an Architect could offer. Even though the A232, like the A201, is technically part of the Owner-Contractor Agreement, it still sets out duties of others like the Architect and CMA.

5. E235-2019: Sustainable Projects Exhibit.

Another optional contract exhibit, the E235-2019 is similar to the standard Sustainable Projects Exhibit, E204-2017, which the AIA introduced in 2017. Both are useful tools for Owners,

Architects, and Contractors who target “Sustainable Objectives.” This paper addresses the E235 below. Most of its differences from the E204 recognize that the CMa is well-suited to assume some of the “quarterback” functions the E204 reserves, by default, for the Architect. The CMa-specific Exhibit adds nearly two pages of text to describe the tasks assigned to the CMa.

B. Owner-CMa Agreement: C132-2019.

For the CMa, the updated C132 presents different opportunities and liability exposures than its predecessor, the C132-2009. Changes implicate things like coordination, cost and schedule, the payment process, retention of documents, and the Multiple Prime Contractors method of project delivery. Note that specific language about CMa rights and duties can be found documents other than the C132-2019, including the CMa-specific General Conditions, A232-2019, and the Owner’s agreements with the Architect, B132-2019, and Contractor, A132-2019.

C. Owner-Architect Agreement: B132-2019.

Like its 2009 predecessor, B132-2019 does contain substantial CMa-specific language to acknowledge the Architect’s role-sharing with CMa, and certain CMa-specific roles in things like cost estimation and value engineering. Many changes are non CMa-specific and merely bring the B132-2019 in line with the B101-2019, Standard Form of Agreement Between Owner and Architect. Some CMa-specific changes in the 2019 version of the B132 include an expanded role in reviewing Contractor submittals, including making recommendations for approval, providing documents to the Owner, and facilitating communications among the project’s participants.

The last four documents which comprise the AIA’s standard forms for the CMa method of project delivery were mentioned above and include G731-2019 (Change Order, CMa Edition), G732-2019 (Application and Certificate for Payment, CMa Edition), G733-2019 (CCD, CMa

Edition) and G734-2019 (Certificate of Substantial Completion, CMa Edition). They are quite similar to other AIA standard forms, but acknowledge the CMa and require its signature.

IV. The AIA's CM Documents: Basic Differences Between CMc and CMa

A. CMa Project v. Traditional Project

The clearly-defined roles of the Architect and GC/CMc on “traditional” tripartite projects are familiar. The Architect prepares the design and, often, performs construction administration. The constructor, whether it is a GC or CMc, is responsible for things like construction means and methods, and safety. Although the designer and constructor closely collaborate, they have distinctly different roles and spheres of influence. Introducing another major stakeholder, the CMa, makes the project more Venn diagram-like. On CMa projects, the CMa's role overlaps those of the traditional designer and constructor.

The CMa has partial responsibility for traditional Architect and GC/CMc tasks and roles on CMa projects. For example, the CMa is often bound by a designer-like standard of care, it often performs certain services traditionally performed by designers, and it often carries PL insurance similar to what designers traditionally carry. This is evident in the AIA's standard C132-2019 text:

The Construction Manager shall perform its services consistent with the skill and care ordinarily provided by construction managers practicing in the same or similar locality under the same or similar circumstances. The Construction Manager shall perform its services as expeditiously as is consistent with such skill and care and the orderly progress of the Project.

C132-2019, §2.2

...The Construction Manager shall promptly review all Shop Drawings, Product Data, Samples and other submittals from the Contractors for compliance with the submittal requirements of the Contracts, coordinate submittals with information contained in related documents, and transmit to the Architect those that the Construction Manager recommends for approval... C132-2019, § 3.3.20

...the Construction Manager shall review and certify the amounts due the respective Contractors... C132-2019, §3.3.12.2

The Construction Manager's certification for payment shall constitute a representation to the Owner, based on the Construction Manager's evaluations of the Work and on the data comprising the Contractors' Applications for Payment, that, to the best of the Construction Manager's knowledge, information and belief, the Work has progressed to the point indicated, the quality of the Work is in accordance with the Contract Documents, and the Contractors are entitled to payment in the amount certified... C132-2019, §3.3.12.3

The Construction Manager shall maintain the following insurance until termination of this Agreement... Professional Liability covering negligent acts, errors and omissions in the performance of professional services with

policy limits of not less than (\$) per claim and (\$) in the aggregate. C132-2019, §§ 2.8, 2.8.5

The CMa also performs GC/CMc-like tasks and carries GC/CMc-like insurance:

...utilizing information from the Contractors, the Construction Manager shall review, analyze, schedule and coordinate the overall sequence of construction and assignment of space in areas where the Contractors are performing Work. C132-2019, § 3.3.7

The Construction Manager shall keep a daily log containing a record of weather, each Contractor's Work on the site, number of workers, identification of equipment, Work accomplished, problems encountered, and other similar relevant data as the Owner may require. C132-2019, § 3.3.21

The Construction Manager shall arrange for the delivery, storage, protection and security of Owner-purchased materials, systems and equipment that are a part of the Project until such items are incorporated into the Work. C132-2019, § 3.3.23

The Construction Manager shall maintain the following insurance until termination of this Agreement... Commercial General Liability with policy limits of not less than (\$) for each occurrence and (\$) in the aggregate for

bodily injury and property damage... the Construction Manager shall cause the... policies for Commercial General Liability... to include the Owner as an additional insured... C132-2019, §§ 2.8, 2.8.1, 2.8.6

The AIA's CMA suite of Contract Documents attempt to parse the traditional responsibilities of the Architect and GC/CMc to "make room" for the CMA to play its role on the project. Theoretically, this should result in better overall coverage and attention the many project tasks.

B. CMA A232 General Conditions v. Standard A201 General Conditions.

Comparing A201-2017, the "standard" General Conditions for GC/CMc projects, and the CMA-specific General Conditions, A232-2019, is interesting and instructive. The A201 and A232 are similar. However, certain unique aspects of the CMA-specific General Conditions shed light on how the CMA delivery method differs from the single GC and CMc delivery methods.

1. A232-2019's Allocation of Architect and CMA Responsibility.

When the AIA prepared the 2019 CMA documents, the AIA received industry input which, unsurprisingly, confirmed that the CMA should not substantially displace the Architect in the Construction Phase. This is true even though the CMA is, for example, likely present at the project site much more frequently than the Architect. Traditional stakeholders, like investors, have grown accustomed to the Architect playing a role in the project until its completion. Even on CMA projects, the Owner's lender might nevertheless want the Architect to provide a certification that, to the best of the Architect's knowledge, information, and belief, the building was constructed in accordance with the design. Thus, under the A232-2019, the CMA and Architect share responsibility for Construction Phase Tasks.

In the A232-2019, the CMA and Architect both serve as a limited agent of – and the protector of – the Owner. Both are required to “...provide administration of the Contract as described in the Contract Documents...” and “...be the Owner’s representatives during construction...” A232-2019, § 4.2.1. By contrast, the A201-2019, like its predecessors, reserves this role for the Architect.

The CMA, for example, has considerable responsibility for reviewing and approving Contractor payment applications; a function usually performed by Architects under the A201 family of documents. However, this responsibility is shared between the Architect and CMA under the AIA Contract Documents specific to the CMA method of project delivery.

Where there is only one Contractor, the CMA reviews its Applications for Payment, and certifies the amount due before forwarding them on to the Architect for its ultimate decision. A232-2019, §9.4.1. If there is more than one Contractor, the process is similar, except the CMA also prepares a summary of the Contractors’ Applications for Payment, and an overall Project Payment Application, before forwarding them to the Architect for final decision. A232-2019, §9.4.2. The Architect always retains authority to not certify some or all of any Contractor’s payment request. A232-2019, §9.4.2.1

Similar payment-related sharing of authority between the CMA and Architect are found throughout the AIA Contract Documents. For example, new text of the A232 provides that of the Owner carries out work after the Contractor defaults or neglects to do so, the CMA and Architect each have a role:

Such action by the Owner and amounts charged to the Contractor are both subject to review by the Construction Manager and prior approval of the Architect, and the Construction Manager or Architect may, pursuant to

Section 9.5.1, withhold or nullify a Certificate for Payment in whole or in part, to the extent reasonably necessary to reimburse the Owner for the reasonable cost of correcting such deficiencies... A232-2019, § 2.5.

This sharing of responsibility carries through to final completion and final payment. When a Contractor believes it has completed the Work, it notifies the CMa and provides it a final Application for Payment, which the CMa forwards to the Architect for its review, and ultimate decision, once the CMa agrees with the Contractor. A232-2019, § 9.10. When they agree, the CMa and Architect each issue a final certification stating that the work is complete, in accordance with the Contract Documents, and that the balances due to Contractors are due and payable. A232-2019, §9.10.1.

While this is somewhat an over-simplification, many A232 differences from the A201 are equal to inserting “...and Construction Manager” next to “Architect” to signify sharing responsibilities the A201 reserves for the Architect. Instances of such shared responsibility include both the Architect and CMa:

- Receiving prompt reports of any errors, inconsistencies or omissions in the Contract Documents discovered by the Contractor. A232-2019, §3.2.2
- Assessing whether substitutions proposed by the Contractor are acceptable. A232-2019, § 3.4.2
- Investigating concealed or unknown conditions. A232-2019, § 3.7.4
- Receiving certifications from the Contractor’s design professional, if any. A232-2019, § 3.12.10.2.

- Reviewing and certifying Applications for Payment, or withholding Certificates for Payment. A232-2019, §§ 4.2.7, 9.4, 9.5
- Rejecting Work that does not conform to the Contract Documents. A232-2019, § 4.2.8
- Reviewing the Contractor's submittals. A232-2019, §§ 4.2.10, 4.2.11
- Conducting inspections to determine the date or dates of Substantial Completion and the date of final completion. A232-2019, §§ 4.2.16, 9.8.3, 9.8.4, 9.10.1
- Signing Change Orders and Construction Change Directives. A232-2019, §§ 7.2, 7.3

Other differences between the A201 and A232 take advantage of the more in-depth involvement of the CMa. Typically, the CMa is on the jobsite frequently, and the Architect is on-site only occasionally, during the Construction Phase. This makes it possible for the CMa to assume a more involved role during the Construction Phase than would make sense for the Architect on a traditional project. For example, the A232 provides that:

The Owner shall forward all communications to the Contractor through the Construction Manager. Other communication shall be made as set forth in Section 4.2.6. A232-2019, §2.3.8

...The Contractor shall cooperate with the Construction Manager in scheduling and performing the Contractor's Work to avoid conflict with, and as to cause no delay in, the work or activities of other Contractors, or

the construction or operations of the Owner's own forces or Separate Contractors. A232-2019, § 3.10.1

The Contractor shall participate with other Contractors, the Construction Manager, and the Owner in reviewing and coordinating all schedules for incorporation into the Project schedule that is prepared by the Construction Manager. The Contractor shall make revisions to the construction schedule and submittal schedule as deemed necessary by the Construction Manager to conform to the Project schedule. A232-2019, § 3.10.3

The Contractor shall coordinate the Contractor's operations with, and secure the approval of, the Construction Manager before using any portion of the site. A232-2019, § 3.13.2

The Construction Manager will schedule and coordinate the activities of the Contractor and other Contractors in accordance with the latest approved Project schedule. A232-2019, § 4.2.4

Utilizing the submittal schedule provided by the Contractor, the Construction Manager shall prepare, and revise as necessary, a Project submittal schedule incorporating information from other Contractors, the Owner, Owner's consultants, Owner's Separate Contractors and vendors,

governmental agencies, and participants in the Project under the management of the Construction Manager... A232-2019, § 4.2.9

The Construction Manager will receive and review requests for information from the Contractor, and forward each request for information to the Architect, with the Construction Manager's recommendation... A232-2019, § 4.2.21.

These are a few examples of the in-depth role of the CMa, and how it supplements and compliments the traditional role of the Architect, including during the Construction Phase.

2. A232-2019: Allocation of Contractor and CMa Responsibility

Certain tasks reserved exclusively for the Contractor in the A201-2019 are shared with the CMa in the A232-2019. For example, the A232 requires the CMa to play at least some role – although, a secondary role – in project safety: "...The Contractor shall submit the Contractor's safety program to the Construction Manager for review and coordination with the safety programs of other Contractors..." A232-2019, § 10.1. Because the CMa documents work well with the Multiple Prime Contractor approach, this requirement makes sense. When more than one Contractor works on the same project site, someone should consider their safety programs holistically. For various reasons this task is better suited to a CMa than an Architect.

However, recognizing that the Contractors themselves are in the best position to ensure safety, the requirement for the CMa to play some role in safety is tempered by other familiar language placing most of the responsibilities on Contractors:

The Contractor shall be responsible for initiating, maintaining, and supervising all safety precautions and programs in connection with the performance of the Contract... The Construction

Manager’s responsibilities for review and coordination of safety programs shall not extend to direct control over or charge of the acts or omissions of the Contractors, Subcontractors... A232-2019, §10.1

...The Contractor shall be solely responsible for, and have control over, construction means, methods, techniques, sequences, and procedures...
A232-2019, §3.3.1

The Construction Manager... will not have control over, charge of, or responsibility for, the construction means, methods, techniques, sequences or procedures, or for the safety precautions and programs in connection with the Work, since these are solely the Contractor’s rights and responsibilities under the Contract Documents... A232-2019, §4.2.5

Similarly, C132-2019, the Standard Form of Agreement Between Owner and CMa, contains CMa-specific provisions regarding safety. The new C132 requires the CMa to “obtain and review” the Contractors’ safety programs, and to make “recommendations for any additional safety measures to be considered...” C132-2019, § 3.3.13. Other sections of the C132-2019 are consistent with the A232-2019 sections quoted above, and are also consistent with the 2009 version of the C132, which all place most of the responsibility for project safety upon the constructors.

V. CMa Documents: Select “Construction Phase” Issues

Clearly delineating “Preconstruction Phase” and “Construction Phase” tasks, responsibilities, and contract language can be a challenge. Tasks and responsibilities in the former phase often manifest as issues, problems, and claims in the latter. Nevertheless, this section

attempts to focus on certain CMa-specific issues in the Construction Phase of the project. While this paper does not discuss line-by-line changes in the AIA's most recent Contract Document, some CMa-specific recent 2019 changes are addressed.

Note that many issues discussed, both above and below, affect the CMa even though the Contract Document language in question is located outside the CMa's agreement with the Owner, C132-2019. In other words, to understand the CMa method of project delivery under the AIA's CMa Contract Documents, you need to look at them all, not just the contract between the Owner and CMa.

A. 2019 Changes to AIA's CMa Contract Documents

1. Multiple Prime Contractors

In 2019 revisions, the AIA increased its focus on making the CMa Contract Documents work well with the Multiple Prime Contractor approach. Some CMa-specific changes to C132-2019 are driven by a definitional change of "Multiple Prime Contractors" to "Contractors." Section 1.4 provides:

The term "Contractors" refers to persons or entities who perform Work under contracts with the Owner that are administered by the Construction Manager and Architect. The term "Contractors" is used to refer to such persons or entities, whether singular or plural. The term does not include the Owner's own forces, or Separate Contractors, which are persons or entities who perform construction under separate contracts with the Owner not administered by the Construction Manager and Architect. C132-2019, §1.4

This definitional change deletes a few dozen “Multiple Prime Contractors” references from the C132-2009, the predecessor of the new C132-2019 agreement between Owner and CMA. Users are invited to list those “Contractors” and “Separate Contractors” in the new version. C132-2019, §1.1.11.

Other new CMA-specific Contract Documents, like B132-2019, the Owner-Architect Agreement, carry forward the definitions of, and distinction between, “Contractors” and “Separate Contractors.” B132-2019, §1.4. Likewise, the CMA-specific General Conditions document contains mirroring definitions. A232-2019, §§ 1.1.5, 1.1.6. This 2019 definitional change resulted in revisions to the language of numerous other A232-2019 sections, one clear example being Section 3.14.2.

While the AIA deleted references to “Multiple Prime Contractors” from the following paragraph, the AIA’s continued – definite – assumption is that CMA projects might involve Multiple Prime Contractors, and that each would be treated as an individual “Contractor” under provisions like this:

Where the Contract is based on a stipulated sum or Guaranteed Maximum Price, the Contractor shall submit a schedule of values to the Construction Manager, before the first Application for Payment, allocating the entire Contract Sum to the various portions of the Work. The schedule of values shall be prepared in the form, and supported by the data to substantiate its accuracy, required by the Construction Manager and the Architect. This schedule, unless objected to by the Construction Manager or Architect, shall be used as a basis for reviewing the Contractor’s Applications for Payment. The Construction Manager shall forward to the Architect the Contractor’s

schedule of values. Any changes to the schedule of values shall be submitted to the Construction Manager and supported by such data to substantiate its accuracy as the Construction Manager and the Architect may require, and unless objected to by the Construction Manager or the Architect, shall be used as a basis for reviewing the Contractor's subsequent Applications for Payment. A232-2019, §9.2

Members of the AIA Contract Documents Committee have stressed that deletion of the phrase "Multiple Prime Contractors" from this paragraph, and the 2019 CMA Contract Documents, as a whole, does not mean that they are not intended for use with the Multiple Prime Contractor method of project delivery.

Other 2019 changes that affect the Multiple Prime Contractor method of project delivery include the CMA role regarding change orders, the payment process, release of retention, and declaration of Substantial Completion. Looking at the payment process example, the CMA had an obligation to issue certifications for payment in the in the 2009 version, but the new C132 also requires the CMA, through an added phrase, to certify specifically that "...the Contractors are entitled to payment in the amount certified." C132-2019, §3.3.12.3. As with the 2009 version of the CMA-specific General Conditions, the new A232 contains separate "Certificate for Payment" provisions to identify the duties of the CMA for "[w]hen there is only one Contractor..." and "[w]here there is more than one Contractor..." A232-2019, §§ 9.4.1, 9.4.2. With Multiple Prime Contractors in mind, the 2019 version of the A132 agreement between Owner and Contractor contains more language about release of retainage to a single Contractor, when its work is substantially complete, even if the overall project has not achieved Substantial Completion. A132-2019, §§ 3.3.2, 3.4.2, 5.1.7. These are just a few examples of new changes to the role of the CMA.

2. Coordination, Cooperation, and Risk Allocation: A Delicate Balance

In the CMA Contract Documents, the AIA attempts to carefully define the project participants' responsibilities. The CMA joins the typical Owner, Architect, and GC/CMc triumvirate in managing the project, so the CMA's role is essentially carved out from within their "traditional" responsibilities. The CMA shares many responsibilities typically allocated to the Architect. For example, in a delicate balance, A132-2019, the Standard Form of Agreement Between Owner and Contractor, CMA Edition, provides:

Based upon Applications for Payment submitted to the Construction Manager by the Contractor, and Certificates for Payment issued by the Construction Manager and Architect, the Owner shall make progress payments on account of the Contract Sum, to the Contractor, as provided below and elsewhere in the Contract Documents. A132-2019, §5.1.1.

Similarly, the Agreement Between Owner and Architect, CMA Edition, provides "Architect shall review and approve or take other appropriate action upon the Contractor's submittals... that the Construction Manager has reviewed, recommended for approval, and transmitted to the Architect..." B132-2019, §3.6.4.2. This is new text in 2019, but the requirement is similar to that of the B132-2009.

While this is also not a new requirement in 2019, the C132 provides: "The Construction Manager shall provide its services in conjunction with the services of an Architect as described in AIA Document B132™-2019, Standard Form of Agreement Between Owner and Architect, Construction Manager as Adviser Edition." C132-2019, §2.3. Specific to the Construction Phase, the C132 provides: "The Construction Manager shall provide on-site administration of the

Contracts for Construction in cooperation with the Architect as set forth below and in AIA Document A232™–2019, General Conditions of the Contract for Construction, Construction Manager as Adviser Edition.” C132-2019, §3.3.1.

CMA Contract Documents try to strike a balance that maximizes the CMA’s utility, taking advantage of its unique ability to provide more hands-on project management during the Construction Phase, while still preserving the roles and interests of the CMA, Architect, Owner and Contractor.

The contractual duty for the CMA to coordinate the work of other project participants presents a particularly interesting delicate balance of competing interests. Failure to clearly delineate the tasks that the CMA will – and will not – undertake in order to coordinate others’ services and work can present liability exposure to the CMA. The risk is it might be blamed for failures of the Architect, or overall design team, or the Contractors. That delineation tends to be project-specific and circumstance-specific; it is not something that lends itself well to inclusion in “off-the-shelf” standard contract forms. However, the C132-2019 does contain general coordination-related concepts to protect the CMA.

Like its predecessor, C132-2019 carries forward the familiar concept that “Construction Manager shall not be responsible for actions taken by the Architect.” C132-2019, §2.3. Similarly, the C132-2019 adds this new text to its 2009 predecessor:

The Construction Manager shall coordinate its services with those services provided by the Owner, the Architect, the Contractors, and the Owner’s other consultants and Separate Contractors. The Construction Manager shall be entitled to rely on, and shall not be responsible for, the accuracy and completeness of services and information furnished by the Owner, the

Architect, and the Owner's other consultants and Separate Contractors. The Construction Manager shall provide prompt written notice to the Owner if the Construction Manager becomes aware of any error, omission, or inconsistency in such services or information. C132-2019, §2.4.

Interestingly, "the Contractors" appears in the first sentence, but not the second sentence. The CMA is not entitled to rely on information "the Contractors" provide, at least to the same extent as information provided by "the Owner, the Architect, and the Owner's other consultants and Separate Contractors," because the CMA has at least some responsibility for information "the Contractors" provide.

Logically, the CMA must do more regarding Contractors, i.e., those having "contracts with the Owner that are administered by the Construction Manager," than Separate Contractors or the Owner's own forces. The Owner, not the CMA, must coordinate "such forces and Separate Contractors with the Work of the Contractor..." A232-2019, §6.1.2. This distinction is not new in 2019. The CMA responsibility for "Contractors" is, however, developed in certain new provisions. For example, regarding one Contractor's proposed means and methods, the A232 contains this new text: "...The Construction Manager shall review the proposed alternative for sequencing, constructability, and coordination impacts on the other Contractors..." A232-2019, §3.3.1. Similarly, new A232 text reinforces that if one Contractor's Work depends on predecessor work by the Owner's own forces, Separate Contractors or other Contractors, that particular Contractor shall promptly notify the CMA and Architect of any apparent discrepancies or defects in the predecessor work. A232-2019, §6.2.2.

Regarding design professionals hired by Contractors, the C132-2019 contains this new text:

If professional design services or certifications by a design professional related to systems, materials, or equipment are specifically required of the Contractors by the Contract Documents, the Construction Manager shall review those submittals for sequencing, constructability, and coordination impacts on the other Contractors. The Construction Manager shall discuss its findings with the Owner and the Architect, and coordinate resolution, as necessary, of any such impacts. C132-2019, §3.3.20.1

While this is not necessarily a new role for the CMA, this new text, and the affirmative “shall” language, highlights its obligations to manage Contractors and communicate with the Owner and Architect.

The 2019 version of the C132 does heighten the CMA’s responsibilities in other respects. With the second sentence below, which is new in 2019, the C132-2019 now imposes a higher and affirmative expectation for the CMA to coordinate project communications:

The Owner shall communicate with the Contractor and the Construction Manager’s consultants through the Construction Manager about matters arising out of or relating to the Contract Documents. The Owner and Construction Manager shall include the Architect in all communications that relate to or affect the Architect’s services or professional responsibilities... C132-2019, §5.15.

While not exactly a sea change given the CMA’s longstanding central role, the new C132-2019 more clearly articulates the expectation for the CMA to be involved in all important project communications. The same language is found in the CMA-specific Owner-Architect Agreement and General Conditions. B132-2019, §5.13; A232-2019, §4.2.6.

The 2009 version of C132 had similar concepts, but it was more permissive. The C132-2009 provided, for example that the Owner “shall endeavor to communicate with the Contractors and the Construction Manager’s consultants through the Construction Manager.” C132-2009, §5.1.3. The CMA-specific General Conditions makes similar flow-of-communication changes in 2019, and now provides: “The Owner shall forward all communications to the Contractor through the Construction Manager.” A232-2019, §2.3.8. The AIA made matching changes to the new B132, the Standard Form of Agreement Between Owner and Architect, CMA Edition. B132-2019, §5.13.

3. New C132-2019 Insurance Language

Insurance-related changes to the new C132 also affect the CMA. The timeframe during which the CMA must maintain insurance is now described as “until termination” of the Agreement. C132-2019, §2.8. This refers to the natural conclusion or expiration of the Agreement, not one party’s termination for cause or convenience. This new “termination” concept is not CMA-specific.

In the 2017 update to the A201 family of documents, the AIA introduced the “termination of the Agreement” concept. It refers to natural termination of the contract one year after Substantial Completion. New text in the C132-2019 provides: “Except as otherwise expressly provided herein, this Agreement shall terminate one year from the date of Substantial Completion.” C132-2019, §9.8. Thus, the CMA must maintain required insurance until around one year after Substantial Completion.

New insurance-related text in the new C132 includes the following more robust requirement for the CMA to name the project Owner as an additional insured:

To the fullest extent permitted by law, the Construction Manager shall cause the primary and excess or umbrella policies for Commercial General

Liability and Automobile Liability to include the Owner as an additional insured for claims caused in whole or in part by the Construction Manager's negligent acts or omissions. The additional insured coverage shall be primary and non-contributory to any of the Owner's insurance policies and shall apply to both ongoing and completed operations. C132-2019, §2.8.6.

The additional insured requirement is not new. However, the requirement in C132-2009 was less descriptive, a single sentence. Users of the 2019 version should be aware of the additional language. The CMA should consult its insurance broker about the ramifications of this change.

4. Other Changes in C132-2019

While some C132-2019 changes arguably increase CMA liability exposure, they also provide the CMA an opportunity to capture more fee due to a greater scope of work. Listing just a few examples, the reports the CMA must prepare for the Owner now require more content, like photographs, updates on permits and approvals of authorities having jurisdiction over the project, and cash flow forecasts and reports. C132-2019, §§ 3.3.11, 3.3.21.2. Performing certain additional inspections to confirm completion of the work. C132-2019, §3.3.26. The CMA is now required “to develop solutions to issues identified” in Owner, Architect, and Contractor meetings. C132-2019, §3.3.6. The CMA must now “observe the on-site testing and inspections” required by Contract Documents. C132-2019, §3.3.8. The CMA must now “..retain all Project related documents and information it receives...” and transmit it all to the Owner at final completion – a substantial task given the abundance of digital data now transmitted. C132-2019, §2.11.

Not all of the 2019 changes increase the CMA's scope of services and, hence, exposure to risk. For example, C132-2019 now clarifies that “The Construction Manager's obligation to indemnify and hold the Owner and the Owner's officers and employees harmless does not include

a duty to defend.” C132-2019, §8.1.3. This clarifying language was likely inserted because PL insurance, including that carried by the CMA, does not cover a contractual undertaking to defend another party. Further, the new C132 acknowledges, after itemizing the records the CMA must make available at the Project site, that they may be maintained in electronic form. C132-2019, §3.3.22. This replaces language from the 2009 version which required the CMA to maintain, in duplicate paper copy, records of the principal building layout lines, elevations of the bottom of the footings, floor levels and key site elevations.

Other changes in the new C132, like the CMA’s heightened duties and risks regarding preparing estimates of the Cost of the Work, are omitted from this paper because they more clearly fall into the “Preconstruction Phase.” The scope of CMA’s Preconstruction Phase services is found primarily in Section 3.2, which comprises several pages of text.

B. Digital Practice Documents: E203, G201, G202

The AIA’s Digital Practice Documents play a prominent role in its newly-released 2017 Contract Documents. Yet, many AIA Contract Document users are unfamiliar with:

- E203–2013, the BIM and Digital Data Exhibit
- G201–2013, Project Digital Data Protocol Form
- G202–2013, Project BIM Protocol Form

The issues discussed in this section concern all project participants, not just the CMA. However, there are CMA-specific considerations to note.

C132-2019, the Standard Form of Agreement Between Owner and CMA, provides “...the Construction Manager shall be designated the Responsible Project Participant in Section 3.5 of E203-2013, responsible for managing and maintaining the centralized electronic document management system.” C132-2019, § 2.10. Similarly, the new C132 provides:

The Construction Manager shall assist the Owner, Architect, and other Project participants in establishing building information modeling and digital data protocols for the Project using AIA Document E203™–2013, Building Information Modeling and Digital Data Exhibit, to establish the protocols for the development, use, transmission, and exchange of digital data. C132-2019, §2.9

Provisions like these demonstrate that CMA project participants need to be aware of the Digital Practice Documents, and how the AIA intends that they be used on CMA projects.

Importantly, use of the AIA’s Digital Practice Documents is expressly required by recent iterations of the AIA’s Contract Documents, including its A201 family Owner-Architect Agreements and Owner-Contractor Agreements. This is the AIA’s default position. Use of the Digital Practice Documents is also presumed for other Contract Document families, like CMA. For example, B132-2019, the Standard Form of Agreement Between Owner and Architect, CMA Edition, provides:

The parties ***shall*** agree upon protocols governing the transmission and use of Instruments of Service or any other information or documentation in digital form. The parties will use AIA Document E203-2013, Building Information Modeling and Digital Data Exhibit, to establish the protocols for the development, use, transmission, and exchange of digital data. B132-2019, §1.3 (emphasis added).

This language appears verbatim in other Contract Documents within the A201 family, like B101-2017, the Standard Form of Agreement Between Architect and Owner. It also appears

verbatim in CMA-specific, documents, including C132-2019, the Standard Form of Agreement Between Owner and CMA, and A232-2019, the CMA-specific General Conditions document.

This important change has received little attention since the AIA revised its A201 family of documents in 2017. It matters because all projects use “digital data.” Under the Digital Practice Documents, “digital data” is anything stored in digital form, from emails to BIM Model Elements. Therefore, unless the Owner, Architect, Contractor and CMA, delete the requirement to use the Digital Practice Documents from their contracts, the presumption is that the parties will accept and abide by all that they require.

Stepping back, mandatory use of the Digital Practice Documents was inspired by the rapidly evolving ways parties transmit, use, and rely on Digital Data. BIM and Digital Data sharing are not new. But contracts and legal doctrines can lag behind new technologies and trends in project delivery. Many contracts omit the subject addressed by the Digital Practice Documents. While the documents are not without their problems and complexities – and should not be used lightly by those who have not studied them to understand their requirements – omitting these important topics is arguably a missed opportunity. Like other risks, Digital Data-related risks can be most predictably managed by contract.

There are three principal Digital Practice Documents. First, E203 is a contract exhibit that must be incorporated into the contracts of nearly all project participants. G201 is a Digital Data protocol, unrelated to BIM, that takes legal effect through the E203 and sets the rules for Digital Data use. G202 is a BIM-specific protocol used along with E203 and G201 on BIM projects. The E203 is a fairly simple document. It recognizes the Owner, Architect, and Contractor may not be ready at the time of contracting to enter into detailed Digital Data protocols. However, the E203 fosters a discussion among, and sets forth the basic expectations of, these principal project

stakeholders. They must, “as soon as practical following the execution” of their contracts, agree on and document details protocols. This includes G201 on all projects, and both G201 and G202 on BIM projects. The G202 is a lengthy and fairly complex document, at least the first time one uses it.

Note that the E203 provides certain contractual protections for parties who use Digital Data in accordance with the agreed protocols. Conversely, the E203 and other related AIA Contract Documents provide that parties who use Digital Data in other ways do so at their sole risk. The E203 provides, regarding use of Digital Data, both before and after the parties’ agreement on the G201 protocol:

§ 3.4 Unauthorized Use

§ 3.4.1 Prior to Establishment of Digital Data Protocols

If a Party receives Digital Data prior to the agreement to, and documentation of, the Digital Data protocols in AIA Document G201–2013, that Party is not authorized to use or rely on the Digital Data. Any use of, or reliance on, such Digital Data is at that Party’s sole risk and without liability to the other Party and its contractors, consultants, agents and employees.

§ 3.4.2 Following Establishment of Digital Data Protocols

Following agreement to, and documentation of, the Digital Data protocols in AIA Document G201–2013, if a Party uses Digital Data inconsistent with the Authorized Uses identified in the Digital Data protocols, that use shall be at the sole risk of the Party using the Digital Data.

The E203 features similar “comply” or “use-at-your-sole-risk” concepts for BIM Model Elements both before and after creation of the G202 BIM-specific protocol. E203-2013, §§ 4.7.1, 4.7.2. Similar language is found in many newer AIA Contract Documents that require use of the Digital Practice Documents, including CMA-specific ones, like the B132-2019, C132-2019 and A232-2019. This is important because misuse can lead to new kinds of liability exposures on CMA projects.

C. Sustainable Projects Exhibit: E235

The A201 family of documents use the standard E204-2017 Sustainable Projects Exhibit to fill another important contractual gap. The E204 contract exhibit is intended to help the project participants develop a well-conceived plan to facilitate achievement of the Owner’s “Sustainable Objectives.” They can include rating system metrics (e.g., LEED, Green Globes, Energy Star), performance-based metrics (e.g., decreased energy or water use, incorporation of sustainable materials), some form of governmental mandate (e.g., California Green Code, D.C. Green Building Act), among others.

The AIA developed an alternate version of the E204 for CMA projects: AIA Document E235-2019, Sustainable Projects Exhibit, CMA Edition. The difference between the E204 and E235 is the recognition of the additional party – the CMA – in the E235. The CMA-specific Sustainable Projects Exhibit adds nearly two pages of text to describe the tasks assigned to the CMA. Both the E204 and E235 required creation of a “Sustainability Plan” to identify the “Sustainable Objective” and the “Sustainable Measures” planned to achieve that objective, and allocate responsibility to the various project participants to accomplish the same. They identify “Sustainability Documentation” related to that objective, and which might be needed for the “Certifying Authority” to issue a “Sustainability Certification.”

Regarding the CMA, the new C132-2019 provides:

If the Owner identified a Sustainable Objective in Article 1, the Construction Manager shall provide, as a Supplemental Service, the Sustainability Services required in AIA Document E235™–2019, Sustainable Projects Exhibit, Construction Manager as Adviser Edition, attached to this Agreement. The Owner shall compensate the Construction Manager as provided in Section 11.2. C132-2019, §4.1.3

The “Supplemental Services” concept, while new in the AIA’s most recent Contract Documents, is not CMA-specific; its reference above merely brings the C132 in line with the AIA’s other recent forms.

The E235-2019 prescribes a role for the CMA, including in the Construction Phase. For example, the CMA is expected to meet with and coordinate the work of Contractors. The E235 anticipates that the CMA will develop the construction waste management and disposal plan. The E235 expects the CMA record the parties’ progress toward the Sustainability Plan, and to report to the Owner and Architect. The CMA is also required to collect Sustainability Documentation required from Contractors. This is another opportunity for the CMA to capture fees associated with an increased work – or to become potentially liable for things the CMA did not intend, should it fail to appreciate the role the E235 expects the CMA to play.

VI. Conclusion

Compared to other project delivery methods, the CMA approach represents at least *the potential* for substantial differences. The key questions are, different *for whom* and *under what circumstances*?

CMA projects are often not that different for Contractors, which face similar “construction-type” risks and rewards as they do with projects delivered in other ways. The CMA – a fourth project stakeholder, along with the Owner, Architect and Contractor – often shares duties usually reserved for the Architect exclusively under the A201 family of documents. The fact an Owner can buy another layer of consulting from the CMA does not change the project much; particularly if the Owner hires a single Contractor and pays it a Stipulated Sum. However, the CMA delivery method is adaptable. An Owner’s ability to use Multiple Prime Contractors and/or pay on a “Cost of the Work” basis can introduce complexity into the CMA project delivery method. These distinctions can affect Owner, Architect, Contractor, and CMA roles, risks, and rewards. Save a few examples, discussed above, the AIA’s latest changes to the CMA family of documents are not major departures from the AIA’s predecessor CMA documents. Most of the AIA’s latest changes affect the Preconstruction Phase, not the Construction Phase. Many merely bring the CMA documents in line with other recent AIA Contract Document revisions. And, based on anecdotal information, the AIA’s CMc documents are more commonly used than its CMA documents.

So is a Plenary 4 paper which focuses on the AIA’s 2019 changes to the CMA documents, solely in the Construction Phase, more interesting or less interesting than the other CMc and CMA papers produced by Plenary 3 and 4? That’s debatable. However, this one was sure fun to write.